Asahi Kasei (3407)

Bennett Lee

Company	**Asahi Kasei Corporation**	EV/EBITDA (Trailing)	6.3x	P/BV	1.0x
Ticker	3407-JP	EV/EBITDA (FY2026e	5.8x	EV/Sales	0.9x
Country	Japan	EV/EBITDA (FY2027e	5.4x	Shares Out (mn)	1,244.8
Sector	Materials	P/E (Trailing)	12.9x	Free Float	83.7%
Industry	Chemicals	P/E (FY2026e)	13.9x	Market Cap (JPYmn)	2,073,765
IVE (JPY)	2,318.92	P/E (FY2027e)	12.3x	ADV Traded (USDmn)	57.6
Current Price (JPY)	1,666.00	FCF Yield (Trailing)	6.6%	Debt/Total Capital	32.6%
MoS	28.2%	FCF Yield (FY2026e)	5.6%	Net Debt/EBITDA	148.3%
52-Week High	1,906.00	FCF Yield (FY2027e)	5.1%	Interest Coverage	18.6x
52-Week Low	1,086.50	Dividend Yield	2.8%	Beta	0.9

Buy Thesis: The stock's 50% appreciation over the past year suggests the market has begun to recognize that Asahi Kasei is no longer simply a cyclical chemicals conglomerate. However, I believe the rerating remains incomplete because the portfolio still carries a conglomerate and chemicals discount despite a growing contribution from Healthcare, electronics materials tied to artificial intelligence, and overseas Homes. Further execution on chemical exits, earnings growth in the First Priority businesses, and higher ROIC should support additional upside as the market increasingly values Asahi as a higher quality diversified company.

The transformation is no longer just a management target. Operating income has reached record highs for two consecutive years, and the company is targeting a third, while its First Priority businesses increasingly drive growth. Pharmaceuticals and Critical Care provide higher margin healthcare growth, Pimel and low dielectric glass cloth offer upside tied to artificial intelligence, and overseas Homes expands Asahi beyond Japan's structurally declining housing market.

I believe Asahi is improving faster than the market is willing to revalue the portfolio. As low return chemical assets exit and the growth businesses scale, Asahi should deliver a stronger return profile across the cycle. There are valid concerns, including continued weakness in commodity chemicals, execution risk across acquisitions and divestitures, and cyclical pressure in overseas housing, but the present valuation overstates these risks and creates an attractive margin of safety.

*I arrive at a value of **¥2,319** per share for an MOS of **21.1%.***

Company Details:

Asahi Kasei was founded in 1922, tracing its roots to the production of ammonia and nitric acid, before diversifying into synthetic fibers and chemicals over the following decades. From this chemical base, the company expanded methodically across adjacent fields — entering the Homes business in the 1960s (driven by founder-era ambitions to improve Japan's fragile urban housing stock) and the Healthcare business in the 1970s. Through a sustained record of M&A and organic expansion, Asahi Kasei evolved from a single-sector materials manufacturer into a diversified multinational operating across three sectors: Material, Homes (home-building), and Health Care (pharmaceuticals and medical devices).

Asahi operates under an operating-holding-company structure adopted in 2016, which divides the group into its three sectors. Historically, the company derived the majority of its earnings from the Material sector, but it is now executing a deliberate portfolio transformation aimed at targeting roughly equal operating-income contribution **(~30% Material / 36% Homes / 34% Healthcare**) by FY2030. The

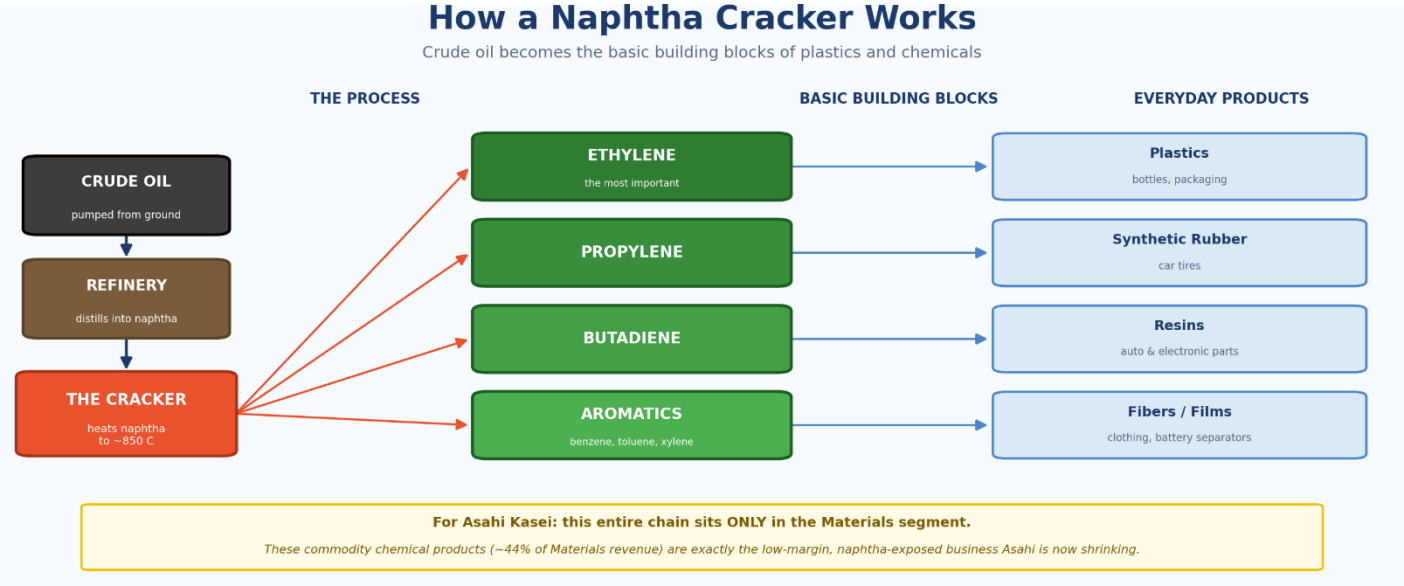
intended result is a de-risked earnings profile with improved through-cycle returns and higher capital efficiency.

Segment	Business categories	Businesses		
Healthcare	Pharmaceuticals & Life Science	Pharmaceuticals (Japan and U.S.)	Life Science (Bioprocess, CDMO, etc.)	
	Critical Care	ACT (professional defibrillators/AEDs, etc.)	CMS (LifeVest wearable defibrillator, etc.)	
		Sleep apnea diagnosis and treatment devices		
Homes	Housing	Order-built homes	Development[1]	Rental/brokerage[1]
		Remodeling	Overseas homes (North American, Australian)	
	Construction Materials	Insulation	AAC	
Material[2]	Electronics	Electronic materials	Electronic devices	
	Car Interior	Car interior materials		
	Energy & Infrastructure	Separators	Ion-exchange membrane	Hollow-fiber membrane (Microza)
	Comfort Life	High-performance materials (functional additives, etc.)	Fibers	Consumables (Saran Wrap, etc.)
	Performance Chemical	Engineering plastics	Performance coating materials	
	Essential Chemical	Basic materials (petrochemical-related business)	Elastomers	

Segment Offerings and Industry Economics *Given Asahi's diversity and scope, I will break down the business economics by segment. With that said, there are still synergies through lateral sharing of technology, manufacturing expertise, and digital tools.*

Materials Division: (¥1,306.2bn / $8.65bn, 42.5% of FY'25 Sales, 5.2% OM): The Materials sector is a tale of two businesses moving in opposite directions, and the investment case rests on the mix shifting decisively toward electronics. The legacy base is commoditized petrochemicals (acrylonitrile, ethylene, styrene, synthetic rubber), a cyclical, low return business whose economics hinge on the spread between product prices and naphtha, the crude oil derived feedstock that Asahi cracks into the basic building blocks shown below.

After a brief post COVID surge, the business fell into a two year downcycle that management now views as structural rather than cyclical, driven by Chinese overcapacity and weak demand. Rather than wait for a rebound, Asahi is actively shrinking this base, consolidating its naphtha cracking and ethylene capacity with Mitsubishi Chemical and Mitsui Chemicals and targeting closure of the shared cracker by around 2030, which frees up capital and lifts blended returns as the low ROIC drag is removed. Feedstock volatility, most recently from Middle East tensions, is largely passed through to customers, so the real issue is not naphtha itself but the structural erosion of the entire commodity chain.

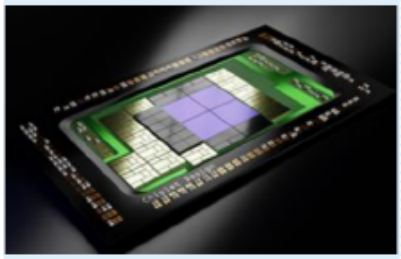


Between these two poles sits a stable specialty core of Car Interior (Sage, the global number one in seat fabric) and Comfort Life (spandex, cupro fiber, Saran Wrap), together roughly 45% of Materials revenue, providing steady cash generative ballast that neither drags on returns nor carries electronics growth expectations.

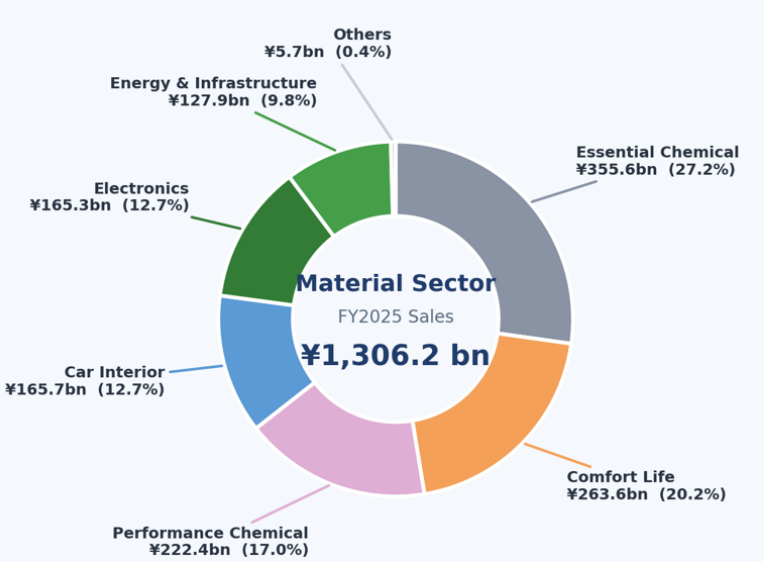
The offset is a portfolio of AI linked semiconductor materials where Asahi holds dominant, defensible share in structurally growing end markets. Its low dielectric glass cloth commands 54% share in AI server and 400GbE applications and 93% in the highest speed 800GbE tier, with sales expected to triple from 2022 to 2030 as AI infrastructure builds out and they capitalize on their competitive position. Pimel, its photosensitive chip coating, is so supply constrained that Asahi is pulling forward its Fuji shi capacity expansion by two years to double output, with demand up 30% year over year and back-to-back TSMC performance awards signaling a hard to replicate technical moat.

Farther out, the battery separator business offers additional optionality: though weaker than expected EV demand has pressured it, surging data center energy storage demand is expected to backfill that shortfall and return the business to growth. These materials are small today and are not yet as profitable, but the datacenter tailwind is expected to shrink the loss moving forward.

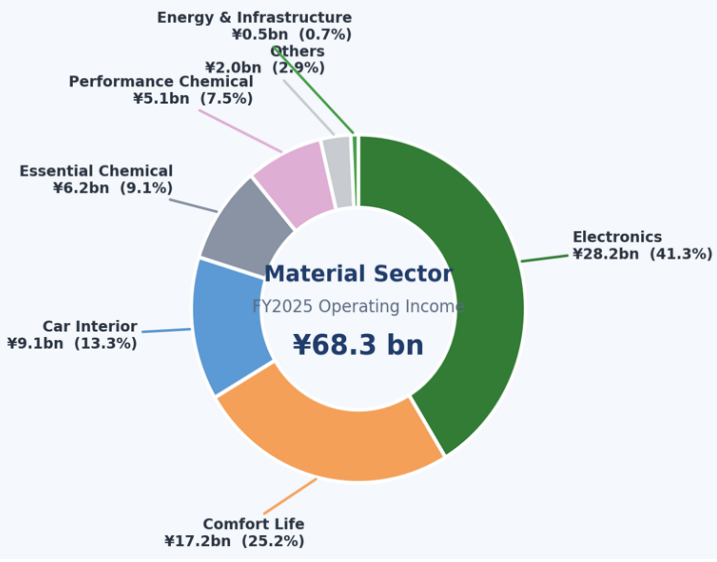
Exhibit 26: PIMEL, glass cloth, Sunfort, and Novacure are growing as AI server-related products.
Key products and applications in the Electronics segment

Cross-sectional view and product applications	Pimel	Glass fabric	Sunfort	Novacure	Electronic components
	Photosensitive dielectric	Woven fabric of glass fiber	Dry film photoresist	Capsule-type latent curing agent	LSIs, magnetic sensors, and other products for smartphone and automotive markets
	• Increased sales of Pimel • Higher value for glass fabric				
					
Chip / Encapsulant / Redistribution layer	Buffer coating Interlayer dielectric			Curing agent for adhesive	• Large-scale new adoption of current sensors for EV • Developing new fields utilizing millimeter-wave radar, such as AgeTech and PetTech
Semiconductor package substrate		Reinforcement, insulation	Fine wiring, copper pillars		
Printed wiring board		Reinforcement, insulation	Wiring pattern	Curing agent for adhesive	

Asahi Kasei — Material Sector Sales Breakdown (FY2025)



Asahi Kasei — Material Sector Operating Income Breakdown (FY2025)

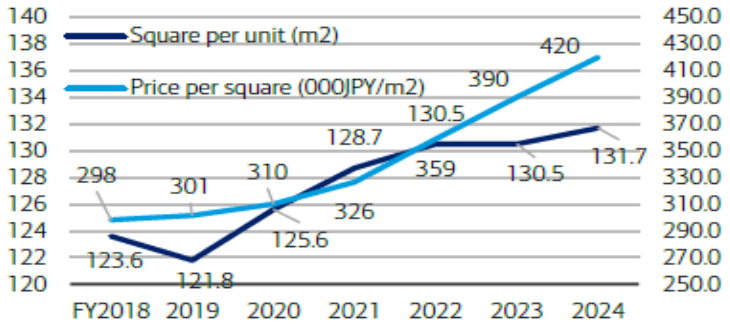


Homes: (¥1,077.4bn / $7.14bn, 35.0% of FY'25 Sales, 9.3% OM): Homes span across 5 sub-businesses under Housing and Construction Materials: order built homes (Hebel Haus detached homes

and Hebel Maison apartments), real estate development (Atlas condominiums), rental and brokerage, remodeling, and construction materials, plus overseas housing in the US and Australia. Asahi builds and sells the finished home itself, differentiated by earthquake resistant, fire resistant, durable steel frame construction using its proprietary aerated concrete and backed by a 60 year gratis inspection program. The Hebel units skew toward urban areas at the higher end price range, which aligns well with Tokyo's affluent buyer.

Domestically, a shrinking market is offset by a deliberate premiumization strategy. Management expects new construction "is expected to decline gradually" as Japan's population falls, yet "strong housing demand in Tokyo remains" and the reconstruction market, driven by condominiums over 40 years old, continues to expand. Rather than chase volume, Asahi pushes larger, higher value added units that lifted the average detached house price to ¥55.3mn / $366k in FY2024, up from ¥36.86mn / $244k in FY2018. Layered on top is a recurring, defensive revenue base: roughly 300,000 Hebel units under remodeling coverage and a growing rental and brokerage book, which together insulate the segment from new build cyclicality and anchor its reliable ~9% margins.

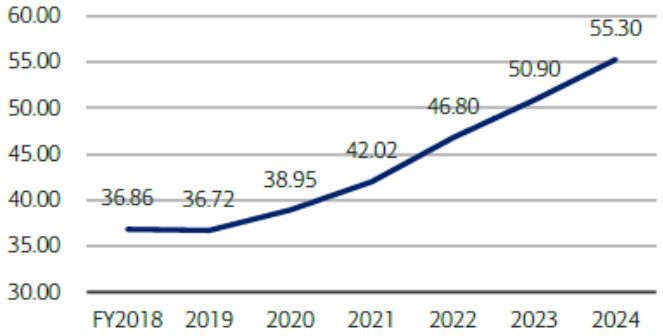
Exhibit 19: Price per square increased
Asahi Kasei (3407): Square per unit and price per square



Source: Jutaku Sangyo Shinbun

BofA GLOBAL RESEARCH

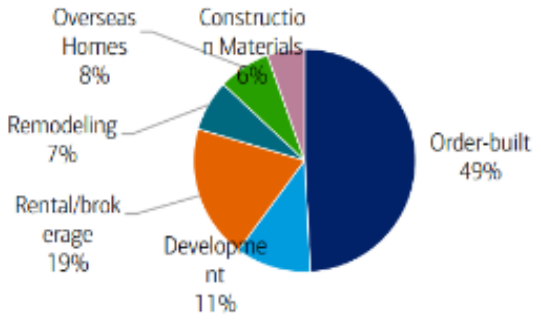
Exhibit 18: Unit price surged
Asahi Kasei (3407): Unit price of detached house (JPY mn)



Source: Jutaku Sangyo Shinbun

BofA GLOBAL RESEARCH

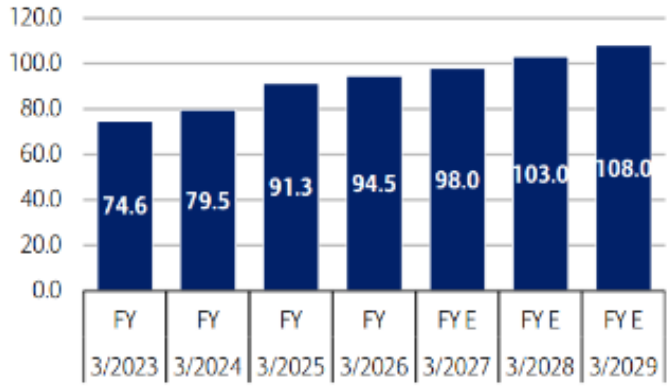
Exhibit 14: Order-built homes and rental/brokerage business are the main sources of earnings.
Asahi Kasei (3407): OP breakdown by sub-segment in Homes segment (FY3/26)



Source: Company

BofA GLOBAL RESEARCH

Exhibit 15: It is a stable growth business.
Asahi Kasei (3407): OP estimates of Homes segment (Bn JPY)



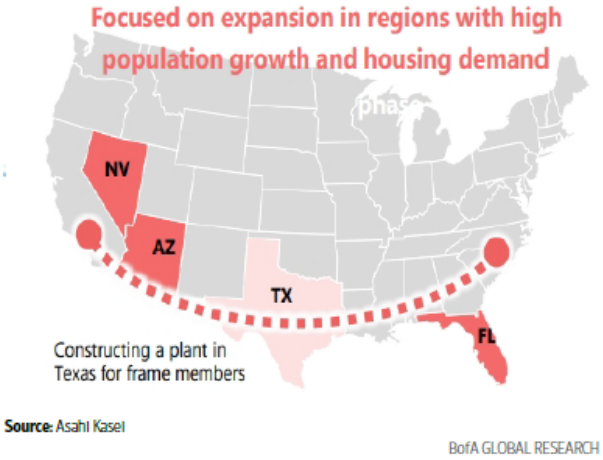
Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

The housing growth engine sits overseas, where Asahi has entered the US and Australia entirely through M&A, riding markets with favorable population demand. In the US, the Synergos model horizontally integrates construction subcontractors (Erickson, Focus, Austin, Brewer, ODC) to compress build times and improve quality across the core construction steps in Arizona, Nevada, and Florida; in Australia, the NEX group (McDonald Jones, Arden) is the No. 3 order built home builder by housing starts.

Overseas sales reached ¥293.0bn / $1.94bn in FY2024 (~28% of Homes), with management targeting ¥500bn / $3.31bn at roughly 10% margin by 2030. The near term risk is cyclical: North American operating income fell in FY2025 on softer housing demand and weak pricing, and the business remains exposed to mortgage rates, building material tariffs, and labor shortages, pressures compounded as the Bank of Japan normalizes rates. But resilient Australian demand and a defensive, premium Japanese base offset this, positioning Homes as the steady cash generator in Asahi's portfolio.





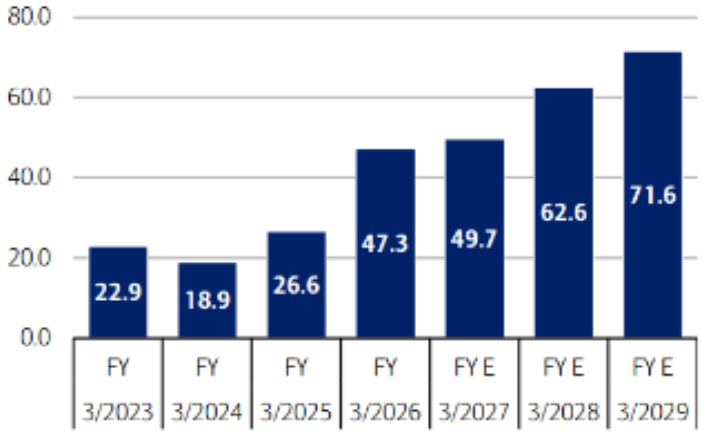
Healthcare: (¥664.1bn / $4.40bn, 21.6% of FY'25 Sales, 12.6% OM): Healthcare is Asahi's highest margin, fastest growing pillar that is split into Pharmaceuticals & Life Science and Critical Care. The strategy is deliberately niche, a global specialty pharma operation focused on immunology, kidney disease, transplantation, and severe infectious disease, targeting markets too small to attract big pharma but too large for biotech startups. Rather than develop drugs in house, Asahi acquires established franchises and provides the capital and global platform to scale them, an ownership model built almost entirely through M&A (ZOLL, Veloxis, Calliditas, Aicuris).

Pharmaceuticals is anchored by two ramping assets. Tarpeyo, acquired through Calliditas, treats IgA nephropathy (kidney medication) and is tracking toward peak sales target two to three years ahead of plan, aided by 2025 guideline inclusion and its position as the only oral small molecule option. Envarsus, a transplant immunosuppressant, is compounding at roughly 15% annually with over 20% market share, and the 2026 Aicuris acquisition adds a severe infectious disease pipeline with pritelivir nearing approval. Management targets ¥300bn of pharma sales at 15%+ margins by 2030, supported by continued in licensing. The one soft spot is the Bionova CDMO business, which management concedes needs a strategy reset due to a soft biotech funding environment, though the Planova virus filter line is a steady 10% grower with a dominant 50% share that helps offset this headwind.

Critical Care, built on the 2012 ZOLL acquisition, is anchored across three lines: wearable defibrillators (LifeVest), professional defibrillators and AEDs, and sleep apnea diagnostics, the last growing at 25%+ as

new therapies drive testing demand. The key watch item across Healthcare is earnings quality, as the aggressive M&A loads the segment with goodwill amortization that depresses reported profit, which is why management emphasizes operating income before goodwill amortization and why a potential IFRS migration would mechanically lift reported earnings. Even so, Healthcare is the clearest growth and margin driver in the portfolio, and as it scales it should be the largest single contributor to the FY2030 operating income target.

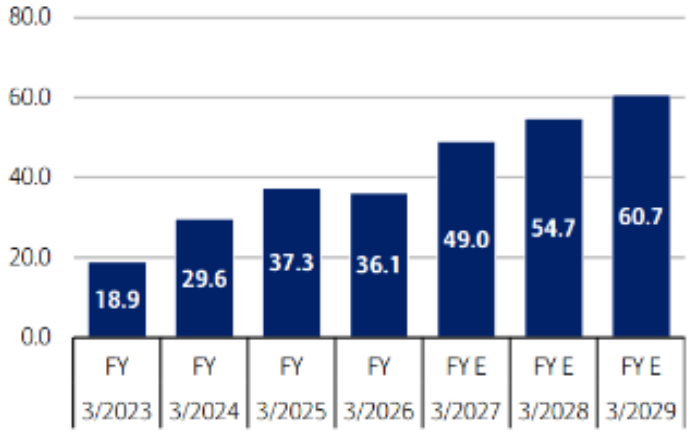
Exhibit 8: Tarpeyo is the growth driver.
Asahi Kasei (3407): OP estimates of Pharma segment (Bn JPY)



Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 9: US defibrillators and LifeVest are the growth drivers.
Asahi Kasei (3407): OP estimates of Critical care segment (Bn JPY)

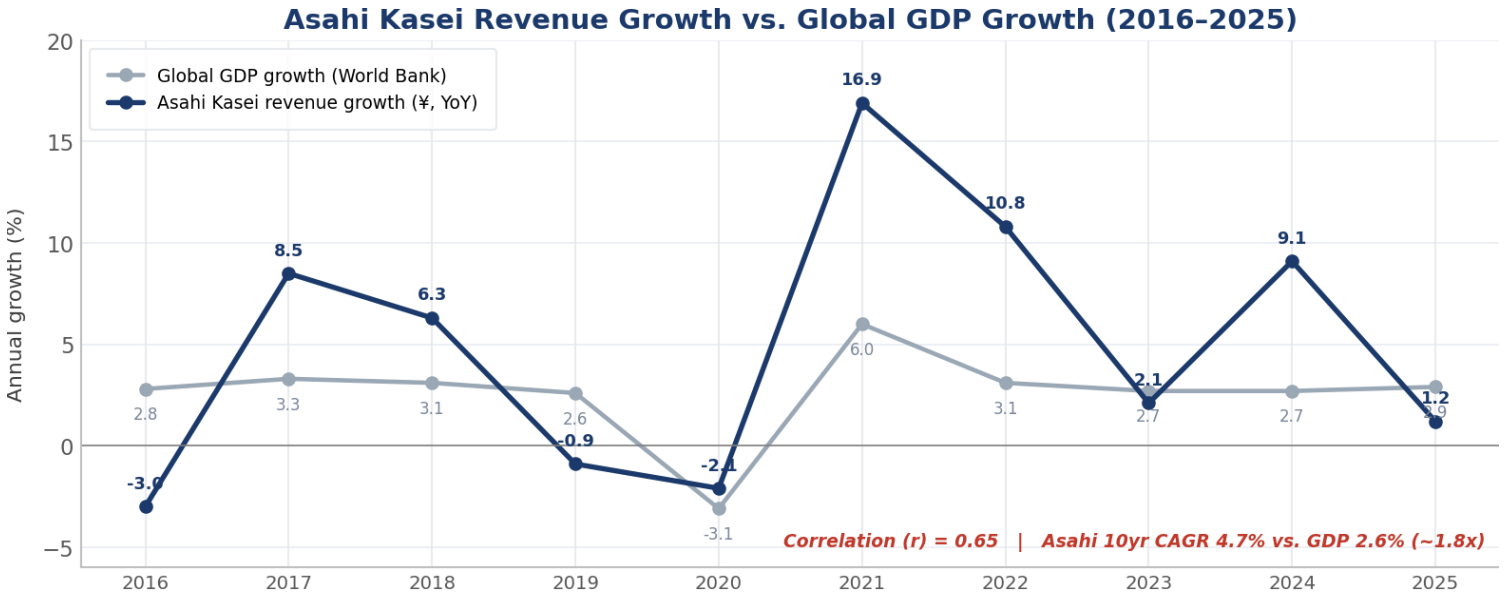


Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

Revenue and Profitability:

Revenue has grown with loose correlation to global GDP, but with far larger swings in certain periods due to the cyclicality of the chemicals business. As the portfolio rebalances away from commoditized chemicals, that GDP linkage should weaken further and the amplitude of these swings compress, leaving a steadier, more idiosyncratic growth profile.



Global GDP = World real GDP growth, World Bank NY.GDP.MKTP.KD.ZG (2025=2.9%). Asahi = nominal ¥ net sales YoY (FY end March). Bases differ — directional.

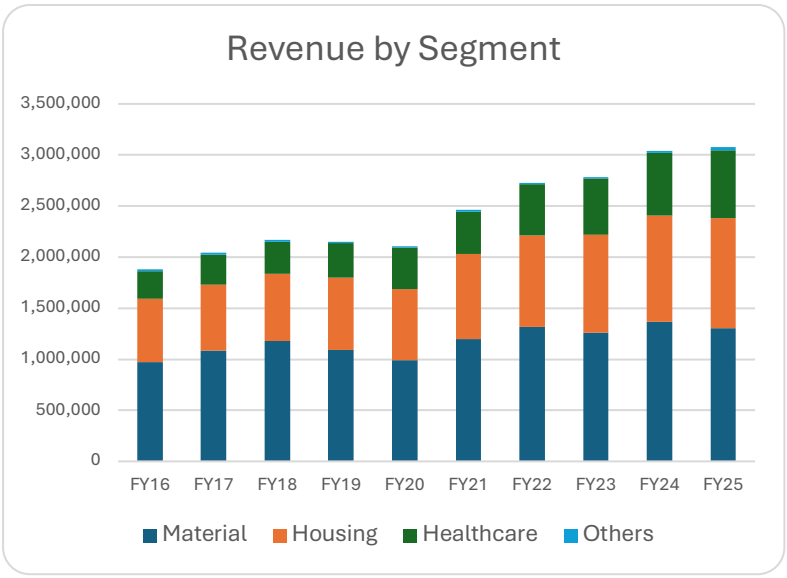
By geography, Asahi is rebalancing away from its Japan and APAC base, with Japan's share of sales falling from about 52% in FY16 to 43% in FY25 as the United States grows into a meaningful contributor; by segment, Healthcare and Homes are steadily taking share from Material, consistent with the transformation toward a balanced three sector portfolio that management intends to act in harmony through shared technology, capital, and expertise.

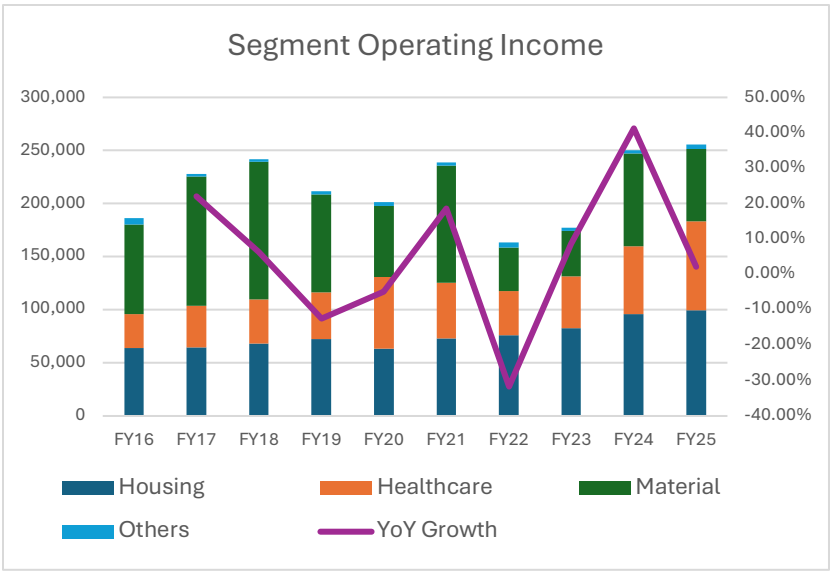
Revenue by Segment: 42.5% Material, 35.0% Homes, 21.6% Health Care, 0.9% Other

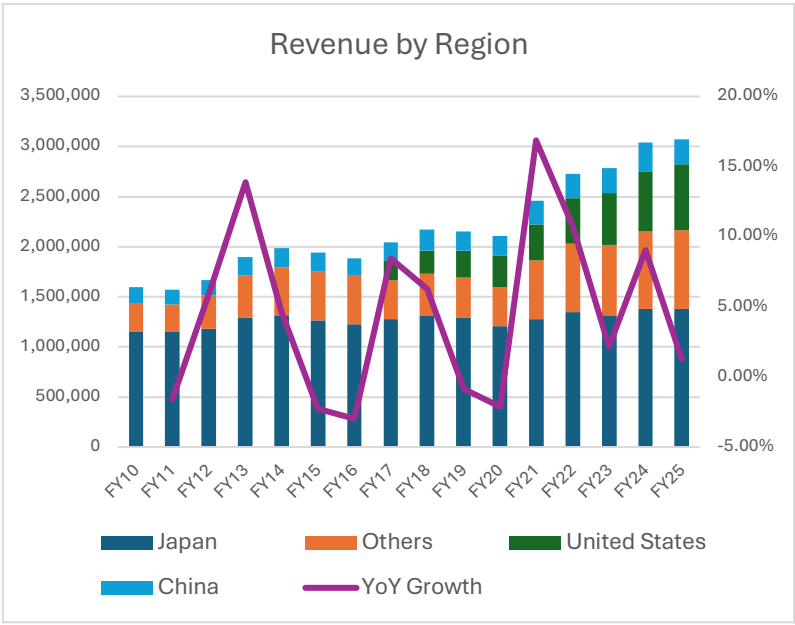
Operating Income by Segment: 29.6% Material (¥68.3bn), 43.2% Homes (¥99.8bn), 36.2% Health Care (¥83.5bn), less ~9% Corporate/eliminations *(total ¥231.2bn)*

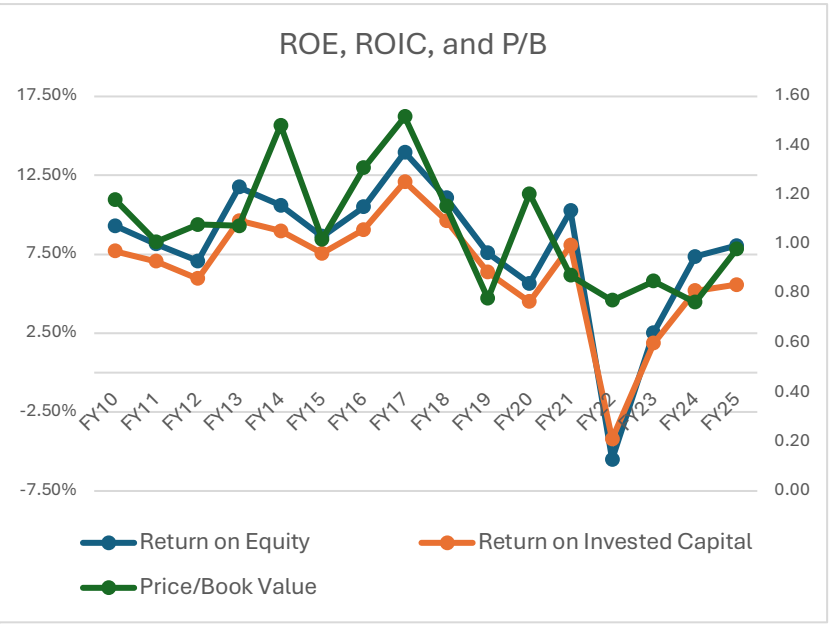
Material Revenue by Sub-segment: 27% Essential Chemical, 20% Comfort Life, 17% Performance Chemical, 13% Car Interior, 13% Electronics, 10% Energy & Infrastructure

Material Operating Income by Sub-segment: 41% Electronics, 25% Comfort Life, 13% Car Interior, 9% Essential Chemical, 7% Performance Chemical, ~1% Energy & Infrastructure









Competitive Positioning:

Diversified Japanese chemical conglomerates (valuation peer set): Asahi's closest peer group is the diversified Japanese chemical majors, though as with most conglomerates no single peer cleanly matches its mix. **Mitsubishi Chemical Group (4188 JP)** is the nearest, diversified across chemicals and healthcare, similarly restructuring its petrochemical base, and Asahi's actual ethylene JV partner, followed by **Sumitomo Chemical (4005 JP)**, which pairs commodity chemicals with a pharma arm and is undergoing its own petrochemical wind down. **Toray Industries (3402 JP)** overlaps on advanced materials and electronic and separator films, while **Teijin (3401 JP)** is the tightest structural analog,

running a comparable materials plus healthcare split. Notably, Asahi's Homes segment has no real peer within this group, making its homebuilding cash flows a genuinely differentiated part of the story.

Segment-level competitors: Because Asahi's businesses sit in unrelated end markets, each also comps against its own set of pure plays:

Materials: petrochemicals and synthetic rubber against ENEOS and Zeon; battery separators against lower cost Chinese and Korean players (Semcorp, Shenzhen Senior, SKIET, W-Scope) plus Toray; AI glass cloth against Nittobo, Nan Ya Plastics, and Taiwan Glass.

Homes: domestic homebuilding against Sekisui House, Daiwa House, Sumitomo Forestry, Mitsui Home, and Sekisui Chemical; the Australian NEX business against Metricon and ABN Group.

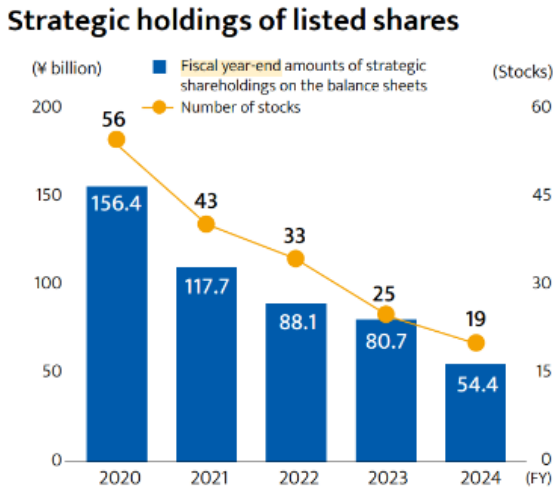
Healthcare: Critical Care against Philips, Stryker, and Nihon Kohden; specialty pharma (Tarpeyo, Envarsus) against Astellas, Otsuka, Novartis, and Travere; Planova virus filters against Merck Millipore, Danaher, and Sartorius.

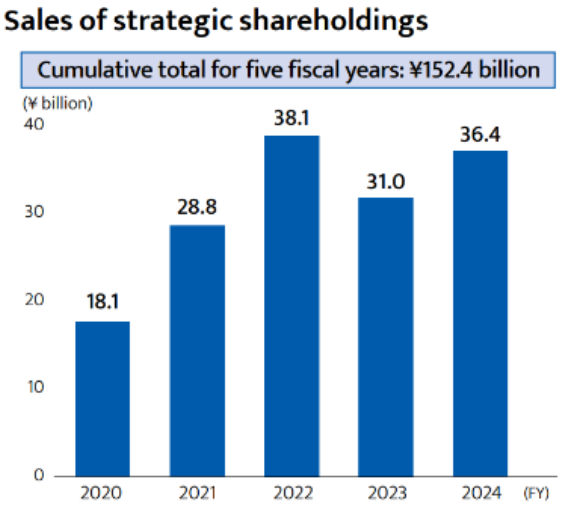
Shareholder Structure:

- Asahi Kasei has no controlling shareholder, with a register split roughly into 44% mainstream institutions (Nomura AM is the largest at 4.89%), 16% insiders and stakeholders through strategic cross shareholdings (Nippon Life, Sumitomo Life, Mizuho), and the remaining 39% retail and unclassified Japanese holders. Given this, Asahi has been viewed as a potential activist target for separation into three entities, though I believe there are enough synergies that doing so would not be in shareholders' best interests.

Balance Sheet, Cash Flow, & Capital Allocation:

- Asahi carries **¥967.5bn** of debt as of March 2026, against a D/E ratio of **0.56** (Management Indicators basis) and interest bearing debt/EBITDA of 2.6x, both comfortably inside management's **0.7 D/E and 3.0x** benchmarks. Debt then rose to **¥1,205.3bn** by June 2026 (**D/E 0.57**) as Asahi drew borrowings to fund the Aicuris acquisition.
- The bond stack **(¥930.2bn including a ¥650bn term loan)** carries coupons mostly between **0.09%** and **1.4%,** (as a legacy of Japan's near-zero rate) though newer 2026 issues price materially higher (**2.24% to 3.03%)** and the short term loan floats at **~4.18%,** so blended interest cost will drift up as the cheap fixed stack refinances.
- M&A is the crucial lever in Asahi's model, not a supplement to it. The entire portfolio transformation has been executed through acquisition: cumulative M&A of approximately ¥1 trillion (FY2018 to FY2025) built Healthcare almost entirely and entered Overseas Homes wholly through deals, alongside roughly ¥600bn of growth capex. Discipline has tightened since the FY2022 Polypore impairment, with management now "strengthening the management of hurdle rates" and following up on each investment, but the appetite remains, making Asahi's returns as much a function of capital deployment skill as of organic execution.
- Shareholder returns are progressive and rising, anchored to a **3% DOE** (dividend on equity) benchmark. Dividends per share have climbed **¥38 (FY24) to ¥42 (FY25)** to a guided **¥44 (FY26)** at a **~28% payout ratio.**
- Reinforcing the capital efficiency story, management has been steadily selling down its strategic (cross) shareholdings, an approximate 70% reduction in the number of stocks and over ¥180bn of holdings over the past five years (down to roughly ¥54bn across 19 stocks), and has committed to continue reducing them throughout the current MTP, recycling that capital into the business and shareholder returns.





Management & Board of Directors:

Sell-side regards the management team highly, with some analysts describing CEO Koshiro Kudo as one of the best operators in the sector. While potentially subjective, it is consistent with his record since assuming CEO duties in April 2022, with two consecutive years of record operating income, a shareholder-aligned (below-peer-average) pay structure, and disciplined execution of the portfolio transformation.

Koshiro Kudo, Presidential Executive Officer, held position since 2022

Toshiyasu Horie, Executive Officer for Strategy, Accounting & Finance, held position since 2024

Ken Shinomiya, Healthcare President since 2025

Yuji Owaku, Homes President since 2025

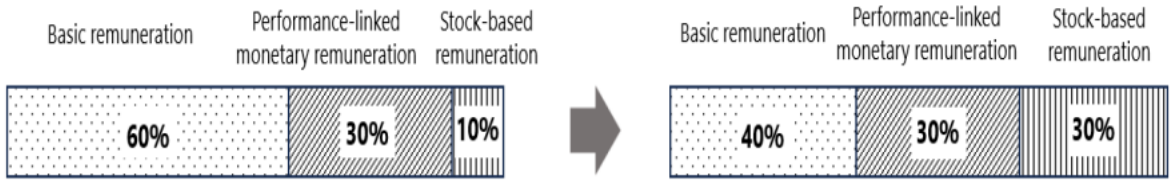
Hiroyoshi Matsuyama, Materials President since 2026

Hideki Kobori has been Chairman of the Board since 2022. He is a non-executive chairman who convenes and chairs Board meetings.

The board has **8 members, of which 4 are independent outside directors (50%)**, with the other 4 being internal (the Chairman, the CEO, and two representative/executive directors). A separate 5-member Audit & Supervisory Board (3 of 5 outside) provides statutory oversight.

Compensation Structure:

Under the new “Trailblaze Together” plan, Asahi shifted its Executive Director pay mix from roughly 6:3:1 to 4:3:3 across basic pay, performance linked cash, and stock based remuneration, cutting fixed pay to 40% while tripling the equity weighting to 30%. The performance linked cash portion is now assessed against operating income, ROE, and ROIC, alongside nonfinancial sustainability targets, and maximum annual remuneration was lifted from ¥800 million to ¥1 billion. Amounts are set by a Remuneration Advisory Committee whose members are primarily independent outside directors, tightening the link between management pay, capital efficiency, and shareholder value.



The 30% stock based remuneration component is structured as follows:

After revision (current MTP for fiscal 2025 -2027)

Indicator	Weighting	Indicator calculation method	FY2024 result	FY2025 target	FY2026 target	FY2027 target
Employee engagement	1/3	Vitality index (favorable respondents)[1]	57.3%	58.2%	59.1%	60.0%
Diversity	1/3	Percentage of women among managers and Group Masters[2]	4.9%	6.0%	7.0%	8.0%
Corporate value	1/3	Asahi Kasei's total shareholder return (TSR) relative to stock price growth index[3]	97.3%	≥100%	≥100%	≥100%

Model Drivers:

Revenue: FY2026/27 set to company guidance (+5.8%, +6.6%), then ~3.8% (~1.3x GDP) thereafter, reflecting LSD/MSD segment CAGRs that become less macro-linked as the portfolio diversifies.

EBIT margin: 7.6% (FY26) and 7.8% (FY27) per guidance, expanding to 9.8% by FY2030 on mix shift, the separator loss reversing, and efficiency. Ties to the ¥380bn FY2030 target.

Capex: peaks at ¥254bn in FY2026 during the separator and Pimel build, then steps down from FY2028 onward.

Cross-shareholdings: unwound gradually, reducing AOCI from ¥620bn toward ¥550bn by FY2030, keeping equity leaner and lifting ROE.

Dividends: ~28% payout per the ~3% DOE progressive policy, plus a ¥40bn annual buyback.

Non-operating: interest expense steps up as near-zero legacy bonds refinance at 2.2–4.2% and the ¥129bn Aicuris revolver is termed out; FX held at zero.

M&A: none modeled per management, treating future deals as unmodeled optionality — conservative given the transformation has been M&A-driven.

Valuation:

I use an 8% cost of equity, consistent with management's stated benchmark for its ROE targets. This appropriately reflects Asahi's diversification across three distinct end markets, balanced against residual Materials cyclicality and execution risk in battery separators.

ROE in FY2030 is ~10.5%, recovering from the FY2022 Polypore trough. This sits below management's ≥12% FY2030 target, as I conservatively retain more earnings and only partially credit the strategic shareholding unwind.

Assuming an 8% COE and ~10.5% ROE with a ~28% payout, I drive the exit off a conservative 1% terminal growth, consistent with a mature business decoupling from the cycle and a through-cycle revenue CAGR of ~1.3x GDP.*Asahi's historical multiples:*

Current (on consensus): 13.0x NTM PE, 6.7x NTM EV/EBITDA, 1.0x NTM PB

7-year Median: 10.6x NTM PE, 6.9x NTM EV/EBITDA, 0.86x NTM PB

Asahi's peer group is the diversified Japanese chemical majors, though no peer closely matches its mix given Homes and Healthcare:

Mitsubishi Chemical (4188 JP) 7yr Median: 10.0x PE, 7.7x EV/EBITDA

Sumitomo Chemical (4005 JP) 7yr Median: 10.4x PE, 7.4x EV/EBITDA

Toray (3402 JP) 7yr Median: 13.4x PE, 8.8x EV/EBITDA

Teijin (3401 JP) 7yr Median: 14.2x PE, 6.5x EV/EBITDA

My valuation is driven by a 12.9x P/FCFE multiple at exit, implying an 11.9x PE, 7.7% FCFE yield, 5.4x EV/EBITDA, and 1.55x PB at exit, an intrinsic value of ¥2,319 vs. ¥1,666, a 28% margin of safety.

ESG:

Overall: Asahi has an MSCI ESG rating of AAA and an ACI ESG score of Neutral.

Environmental: As a diversified chemical producer Asahi is a meaningful emitter, but targets carbon neutrality (Scope 1 and 2) by 2050, with interim cuts of at least 30% by FY2030 and 40% by FY2035 versus FY2013, and is already ahead (28% by FY2022). Reductions come from decarbonizing energy, process innovation, and, distinctively, shrinking carbon-intensive petrochemicals, alongside Environmental Contribution Products and green investments in clean hydrogen and bioethanol-based chemicals.

Social: Diversity is a formal KPI (raising women in management and among organizational leaders), employee engagement is itself an executive incentive metric, and Japanese labor relations are consensus-driven, without employee board seats.

Governance: Governance is central to the thesis: an 8-member Board with 4 independent outside directors (50%), a majority-outside Nominating Committee, a single share class, and no controlling shareholder, supporting minority alignment and the re-rating angle. ESG metrics (GHG, women in management, engagement) are embedded in executive pay, which is weighted toward variable and equity-linked components tied to ROIC, ROE, and relative TSR.